

Member ID: _____

Time: _____

Rank: _____



BUSINESS LAW & ETHICS

(265)

NATIONAL 2023

Multiple Choice:

50 @ 2 points each

_____ (100 points)

Test Time: 60 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

Directions: Identify the letter of the choice that *best* completes the statement or answers the question.

1. What is the primary function of the U.S. legal system?
 - A. Resolve disputes and maintain stability
 - B. Enforce economic stability and predictability
 - C. Enforce acceptable societal behavior
 - D. Ensure the separation of powers
2. Which branch of the government has the power to ensure laws are faithfully executed?
 - A. Judicial
 - B. Legislative
 - C. Executive
 - D. Supremacy
3. One classification of law is procedural law. This classification does what/
 - A. Creates rights and obligations
 - B. Defines offenses and punishments
 - C. Enforces rights or settles obligations
 - D. Sets remedies for offenses
4. The study of law is jurisprudence. The _____ school of thought on jurisprudence believes changes in societal norms are reflected in the law.
 - A. Natural law
 - B. Historical
 - C. Legal realism
 - D. Legal transformation
5. The principle of _____ examines prior cases to determine whether an issue has already been decided and whether that same decision should be made.
 - A. Precedent
 - B. Subject-matter
 - C. Substantive
 - D. Stare Decisis
6. Common law rules are developed from:
 - A. Decisions of the courts in disputes
 - B. Statutes enacted by state legislatures
 - C. Laws enacted by Congress
 - D. Regulations enacted by administrative agencies

7. When a lessee fails to pay the rent for their apartment, which source of law will apply should the landlord decides to file a lawsuit?
 - A. Administrative law
 - B. The U.S. Constitution
 - C. Civil law
 - D. State statute
8. Forms of Alternative Dispute Resolution (“ADR”) include all of the following except:
 - A. Mediation
 - B. Settlement
 - C. Litigation
 - D. Arbitration
9. In order to limit the authority of state governments, the _____ was enacted by the federal government.
 - A. Supremacy Clause
 - B. 10th Amendment
 - C. Bill of Rights
 - D. Commerce Clause
10. _____ occurs when a person unlawfully takes the personal property of another person or a business.
 - A. Embezzlement
 - B. Larceny
 - C. Robbery
 - D. Conversion
11. In civil law, the legal standard to satisfy the burden of proof is by _____.
 - A. A preponderance of evidence
 - B. Beyond a reasonable doubt
 - C. Clear and convincing evidence
 - D. Just cause
12. All of the following are considered intentional torts except:
 - A. Assault
 - B. Defamation
 - C. Negligence
 - D. Libel

13. Jonathan purchased a chainsaw which also came with a protective guard. The next day, Jonathan used the chainsaw but did not wear the protective guard nor did he have proper footwear for the task. Jonathan slipped and suffered harm due to his lack of care. This is known as:
- A. Misuse
 - B. Comparative negligence
 - C. Assumption of risk
 - D. Contributory negligence
14. Your rich uncle promises to pay you \$10,000 if you graduate and abstain from the use of alcohol and smoking. You follow through and, on graduation day, ask for your uncle to make good on his promise. Your uncle says he has changed his mind and was only joking and there was no consideration on your part. Is this a legal contract?
- A. No, there was no consideration on your part.
 - B. No, promises between relatives do not form a legal contract.
 - C. Yes, consideration is not necessary as you have relied on his promise.
 - D. Yes, consideration is not necessary for relatives.
15. An employee is promised by his employer to receive monthly payments for the length of their life at retirement. The employee retires but the employer does not deliver on his promise. In order to prevent an injustice, the court may step in due to which doctrine?
- A. Equity
 - B. Good-faith
 - C. Quid pro quo
 - D. Promissory Estoppel
16. When there is a breach of contract, courts may step in and grant _____ which terminates the duties of both parties under the contract.
- A. Specific performance
 - B. Restitution
 - C. Reformation
 - D. Rescission
17. Which of the following would not be consideration for contract purposes?
- A. Money
 - B. Personal property
 - C. Gift
 - D. Services
18. Under the Uniform Commercial Code, which of the following is not a category of items to be bought or sold?
- A. Realty
 - B. Property
 - C. Goods
 - D. Rights

19. Which of the following terms cannot be left open to in a sales contract under the Uniform Commercial Code?
- A. Price
 - B. Quantity
 - C. Delivery
 - D. Payment
20. What is the main source of law for sales contracts?
- A. Uniform Commercial Code
 - B. State Statutes
 - C. Civil law
 - D. Common law
21. Which of the following is not considered an express warranty?
- A. 100% orange juice
 - B. Orange juice not from concentrate
 - C. Orange juice from Florida grown oranges
 - D. Best orange juice in Florida
22. The sale of food and drink fit for consumption is an example of goods under which warranty?
- A. Warranty of merchantability
 - B. Warranty of fitness
 - C. Warranty of title
 - D. Warranty of edibility
23. What legislation was enacted that governs health and safety in the workplace?
- A. Affordable Care Act
 - B. Occupational Safety and Health Act
 - C. Workers' Compensation Act
 - D. Fair Labor Standards Act
24. _____ occurs when an employee has earned a nonforfeitable right to receive pension benefits.
- A. Vesting
 - B. Retiring
 - C. Conferring
 - D. Consigning
25. When a union and employer negotiate contract terms, this is known as _____.
- A. Contract brokering
 - B. Communal conferring
 - C. Collective bargaining
 - D. Cooperative deliberating

26. What is the most common way contracts are discharged?
- A. Operation of law
 - B. Agreement
 - C. Full performance
 - D. Acceptance
27. To qualify as _____, the performance must not vary greatly from the performance promised in the contract.
- A. Complete
 - B. Substantial
 - C. Material
 - D. Practical
28. All of the following are qualifying situation under Impossibility of Performance except:
- A. One party dies or becomes incapacitated.
 - B. Subject matter of the contract is destroyed.
 - C. Change in law renders performance illegal.
 - D. Duty to perform becomes too costly.
29. Special damages to compensate for a loss that goes beyond the contract itself are known as _____ damages.
- A. Consequential
 - B. Punitive
 - C. Liquidated
 - D. Compensatory
30. Tarek forms an agreement with Sunshine Company to work on a construction job in California. The project is expected to take 24 months. Does this project fall within the Statute of Frauds?
- A. Yes, because it is an employment contract.
 - B. Yes, because this is a specially made project.
 - C. No, because the project could be completed within one year.
 - D. No, because it is not for the sale of real property.
31. Under the _____, any agreement that is not contained within the written contract is inadmissible in court.
- A. Parole evidence rule
 - B. Due process rule
 - C. Contract law rule
 - D. False substantiation rule

32. Everything Computers Corporation sells electronics to consumers. In their advertisement, the Z100 computer is offered for sale at a deep discount starting the next day. Timothy saw the advertisement and went to the store immediately upon its opening the next day. The salesperson informed Timothy the Z100 was no longer available but the store did have the Z150 for a substantially higher price. This is known as _____ advertising.
- A. Failure to disclose
 - B. Bait-and-Switch
 - C. Mislabeling
 - D. Misleading deceptions
33. The Fair Debt Collections Act prohibits all of the following except:
- A. Contacting a consumer at their place of employment.
 - B. Contacting a consumer in their home.
 - C. Contacting third parties.
 - D. Contacting a consumer after notice of insolvency.
34. Under the Uniform Commercial Code, a negotiable instrument will contain all of the following except:
- A. State a specific sum of money
 - B. Payable on demand
 - C. Payable on a specific date
 - D. Be written in U.S. dollars.
35. Thomas writes a check and makes it “payable to cash” then delivers it to Eileen. Eileen places the check into her purse. Before Eileen can cash the check, her purse is stolen. The thief then takes the check and delivers it to Portia. Who has rights to this check?
- A. Thomas
 - B. Eileen
 - C. The thief
 - D. Portia
36. A _____ endorsement consists of the signature of the payee and converts the instrument into a bearer instrument and may be transferred by delivery alone.
- A. Blank
 - B. Special
 - C. Restrictive
 - D. Conditional
37. A _____ endorsement is one in which words have been added to the signature that limit the liability of the endorser.
- A. Special
 - B. Restrictive
 - C. Qualified
 - D. Conditional

38. John is in the process of securing a new apartment but needs \$3,000 to do so. He contacts his friend, Steve, and asks to borrow the money. Steve agrees and John writes on a piece of paper "John owes Steve \$3,000 and will pay in three months" and John signs the paper. Is this a negotiable instrument?
- A. Yes, because it is in writing.
 - B. Yes, because the amount is definite.
 - C. No, there is no unconditional promise to pay.
 - D. No, the time is not definite.
39. All of the following elements are necessary to be a holder in due course of an instrument except:
- A. Holder takes a security interest in the instrument.
 - B. Holder is aware the instrument has been dishonored.
 - C. Holder takes in good faith.
 - D. Holder takes without notice that it is defective.
40. _____ is a legal doctrine whereby the acts of an employee while performing duties of employment are considered the acts of the employer and the employer is liable.
- A. Vicarious liability
 - B. Respondent superior
 - C. Secondary liability
 - D. Personal liability
41. A(n) _____ warranty occurs when a negotiable instrument is offered to the maker or drawer for payment by a person entitled to payment.
- A. Transfer
 - B. Payment
 - C. Negotiation
 - D. Presentment
42. Which of the following is a type of universal (real) defense?
- A. Fraud
 - B. Breach
 - C. Counterclaim
 - D. Material alteration
43. Taking your clothes to the dry cleaners to be cleaned is known as a(n) _____ because you are transferring possession, not ownership.
- A. Lien
 - B. Consignment
 - C. Transfer
 - D. Bailment

44. An investor who owns shares of a company's stock posts notices online indicating the value of the stock will increase is known as _____.
A. Insider trading
B. Deceptive advertising
C. Touting
D. Adhesion
45. When a former employer discloses personal, irrelevant information about a former employee to a prospective employer, this is known as _____.
A. Defamation
B. Misrepresentation
C. Invasion of privacy
D. Negligence
46. If a drawee-bank wrongfully dishonors a check written by its customer, what recourse does the customer have?
A. None because the customer can't assume the bank will honor the check.
B. The drawee-bank is liable only for the amount of the check.
C. The drawee-bank is liable for the amount of the check plus damages.
D. The drawee-bank is liable for the amount of the check, damages, and tortious misrepresentation.
47. Under the Family Medical Leave Act, employers with _____ or more employees must provide up to twelve weeks unpaid leave for any twelve-month period.
A. 20
B. 50
C. 100
D. 500
48. Fair Labor Standards Act applies to all of the following except:
A. Child labor restrictions
B. Vacation time allowed
C. Minimum wage requirement
D. Overtime provisions
49. _____ is a federal statute designed to make it unlawful for American companies to make payments to foreign government officials to expedite business transactions.
A. Foreign Corrupt Practices Act
B. Anti-Bribery Act
C. International Sale of Goods Act
D. Foreign Sovereign Immunities Act

50. The _____ establishes the rights of private-sector employees to form unions.
- A. National Labor Relations Act
 - B. National Labor-Management Relations Act
 - C. National Collective Bargaining Act
 - D. National Antilabor Discrimination Act